

**BEFORE THE
FEDERAL MARITIME COMMISSION**

December 9, 2022

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA-CGM (America), LLC
CMA CGM S.A.

Respondents

VERIFIED AMENDED COMPLAINT



Marine Transport Logistics, Inc., (hereinafter “MTL”), by its attorney, Garry Pogil, complaining of the Respondent, CMA-CGM (America), LLC, (hereinafter “CMA LLC”) and CMA CGM S.A. (hereinafter “CMA S.A.”) as follows, upon information and belief, the sources of such being CMA documents and conversations between CMA and MTL:¹

PARTIES

1. MTL is a corporation duly organized under the laws of the State of New York, with a principal place of business at 63 New Hook Road, Bayonne, NJ 07002.
2. MTL is a Non-Vessel Operating Common Carrier (NVOCC), duly licensed by the Federal Maritime Commission (hereinafter “FMC”).
3. CMA LLC is an agent for CMA S.A, with respect to all aspects of a shipping transaction, including such transactions in the United States, and including all transactions that are the subject of this complaint; it’s address is: 1 Meadowlands Plz, Suite 201, East Rutherford, NJ 07073. It also has an office at 5701 Lake Wright Drive, Norfolk, VA 23502. CMA S.A. is a global Vessel Operating

¹ Any reference to “CMA” is deemed an allegation as to both: CMA LLC and CMA S.A.

Common Carrier, based in France, located at 4, Quai D'Arenc, P.O. Box 2409, 13215 Marseilles
Cedex 02, France.

JURISDICTION

4. FMC has subject matter jurisdiction over the claims in this action as the above- captioned matter involves contracts for carriage of goods by sea. 46 U.S.C.S. 30701, and the Shipping Act of 1984, 46 U.S.C.S. 40101, et Seq.

FACTUAL ALLEGATIONS AGAINST ALL RESPONDENTS

Container #TGBU5073710

5. On March 3, 2022, MTL advised CMA to reroute the subject container to Port of Bremerhaven due to the ongoing conflict in Ukraine. A follow up email was sent on March 11, 2022, with an additional request to change the consignee as well.

6. On April 1, 2022, CMA advised that the subject container had been discharged in the Port of Constanta and inquired as to whether MTL wished to pick up such at that location.

7. There was no basis for CMA to inquire of MTL about picking up the container at Constanta because MTL's clear instructions were to deliver the container to Bremerhaven.

8. CMA did not immediately load the container at Constanta as they were required to do for its final destination to Bremerhaven. Instead, to collect demurrage/detention/storage charges, CMA delayed loading the container for several months and then tried to collect demurrage/storage charges in connection with such delay. Furthermore, CMA failed to advise as to the nature and extent of delay at Constanta.

9. Having not received a response from CMA, MTL followed up on April 14 and April 21, 2022, requesting clarification as to why nothing is being done while MTL's customer is being requested to pay demurrage and storage charges.

10. Meanwhile, on or about April 21, 2022, CMA contacted the Ukrainian consignee requesting demurrage and storage charges because the subject container is idling in the Port of Constanta.

11. On April 28, 2022, CMA finally notified MTL that a Change of Destination has been processed.

12. However, as of June 20, 2022, the subject container still has not been delivered to the Port of Bremerhaven. CMA finally responded to MTL by stating that the subject container will be

delivered on July 17, 2022.

13. On July 8, 2022, MTL advised CMA that CMA forgot to change the consignee and notify party for the subject container. CMA failed to respond, and another reminder was sent by MTL on July 18 and 19 of 2022. On July 19, 2022, CMA responded: "Your correction request was well received. However, because the cargo manifest has been filed with custom at the destination port, a message has been sent to the destination agents for their approval. Once we receive word from our agents, we will advise you accordingly." The consequence of such failure was that demurrage/detention/storage charges would continue to accumulate because the container could not be released without a consignee.

Container #UETU5251612

14. On March 3, 2022, MTL advised CMA to reroute the subject container to Port of Bremerhaven due to the ongoing conflict in Ukraine.

15. On March 11, 2022, a follow up has been sent to CMA by MTL. On March 25, 2022, another request was sent to CMA to change destination and the consignee. This container too ended up at the Port of Constanta. CMA did not immediately load the container at Constanta as they were required to do for its final destination to Bremerhaven. Instead, to collect demurrage/detention/storage charges, CMA delayed loading the container for several months and then tried to collect demurrage/storage charges in connection with such delay. Furthermore, CMA failed to advise as to the nature and extent of delay at Constanta.

16. On June 10, 2022, MTL sent a reminder to CMA to change the consignee. CMA responded by stating: "Your correction was well received. However, because the cargo manifest has been filed with custom at the destination port, a message has been sent to the destination agents for their approval. Once we receive word from our agents, we will advise you accordingly."

17. On June 14, 2022, CMA advised that the amended Bill of Lading has been posted;

however, the consignee was not amended by CMA. The consignee was finally corrected on the following day.

18. Irrespective of the fact that MTL had paid all freight charges, CMA delayed issuing the SWB until June 26, 2022.

Container #SEGU6471959

19. On March 3, 2022, MTL advised CMA to reroute the subject container to Port of Bremerhaven due to the ongoing conflict in Ukraine. There was no response, so a follow up was sent on March 11, 2022. This container too ended up at the Port of Constanta. CMA did not immediately load the container at Constanta as they were required to do for its final destination to Bremerhaven. Instead, to collect demurrage/detention/storage charges, CMA delayed loading the container for several months and then tried to collect demurrage/storage charges in connection with such delay. Furthermore, CMA failed to advise as to the nature and extent of delay at Constanta.

20. On June 7, 2022, MTL notified CMA that they forgot to change the consignee and notify party. Having received no reply, a follow up was sent to which CMA responded: "Your correction was well received. However, because the cargo manifest has been filed with custom at the destination port, a message has been sent to the destination agents for their approval. Once we receive word from our agents, we will advise you accordingly."

21. CMA finally corrected the consignee and sent an amended draft Bill of Lading on June 14, 2022, and MTL requested issuance of SWB urgently. Such SWB was delayed by five (5) days.

Container #UESU5180789

22. A similar picture unfolded with this container as well. On March 3, 2022, MTL advised CMA to reroute the subject container to Port of Bremerhaven due to the ongoing conflict in Ukraine. There was no response, so a follow up was sent on March 11, 2022. This container too ended up at the Port of Constanta. CMA did not immediately load the container at Constanta as

they were required to do for its final destination to Bremerhaven. Instead, to collect demurrage/detention/storage charges, CMA delayed loading the container for several months and then tried to collect demurrage/storage charges in connection with such delay. Furthermore, CMA failed to advise as to the nature and extent of delay at Constanta.

23. On June 27, MTL noticed that CMA failed to correct the consignee and notify party and advised them of such. CMA responded by stating: "Your correction was well received. However, because the cargo manifest has been filed with custom at the destination port, a message has been sent to the destination agents for their approval. Once we receive word from our agents, we will advise you accordingly."

Container #TRLU7542206

24. On March 3, 2022, MTL advised CMA to reroute the subject container to Port of Bremerhaven due to the ongoing conflict in Ukraine. There was no response, so a follow up was sent on March 11, 2022. Another follow up was sent on March 25, 2022 with a request to change the consignee. This container too ended up at the Port of Constanta. CMA did not immediately load the container at Constanta as they were required to do for its final destination to Bremerhaven. Instead, to collect demurrage/detention/storage charges, CMA delayed loading the container for several months and then tried to collect demurrage/storage charges in connection with such delay. Furthermore, CMA failed to advise as to the nature and extent of delay at Constanta.

25. On March 25, 2022, MTL notified CMA to change the consignee. The consignee was not changed, and MTL again, on June 10, 2022, notified CMA that CMA forgot to change the consignee and notify party. CMA responded, on June 12, 2022, with their standard reply: "Your correction was well received. However, because the cargo manifest has been filed with custom at the destination port, a message has been sent to the destination agents for their approval. Once we receive word from our agents, we will advise you accordingly."

26. On June 13, 2022, MTL notified CMA that irrespective of the fact that MTL requested a change in consignee on March 25, 2022, such change did not take place to date.

27. After the consignee was finally changed, CMA delayed issuing the SWB; such SWB was not issued until June 23, 2022.

28. CMA's conduct with respect to the above subject containers, is not the only evidence of the pattern of not taking timely action for the purpose of generating demurrage/detention/storage fees.

Container #TCNU3475181, Booking #NAM3933751

29. In or around June of 2020 — even though MTL timely provided all relevant documentation to CMA (e.g. export declaration, commercial invoices and copies of titles) — CMA “rolled” this container twice.

30. According to CMA, the reason why the containers were not placed on a vessel was because, according to CMA, there is a restriction on jet ski shipments to Libya.

31. The subject container was “in gated” and was in the port for approximately seven (7) days before CMA notified MTL of this supposed restriction. There was no reason to keep the container at the terminal and not notify MTL for this many days other than for the purposes to later assess demurrage penalties.

32. CMA placed MTL's cargo on hold and forced MTL to pay terminal charges, detention, and demurrage.

33. When MTL timely filed its dispute with CMA as to these charges, CMA failed to advise MTL that demurrage would be accumulating while the dispute was pending. Furthermore, upon information and belief, the contracted for free period was not applied to the demurrage invoice.

Booking #4588370

34. In or around August of 2021, CMA “rolled” another container due to MTL allegedly not providing timely or adequate documentation and assessed rollover and demurrage charges. Such charges were assessed even though MTL provided all evidence that it submitted all required documentation timely, pursuant to CMA’s instructions.

35. CMA then claimed that it changed its dates/deadlines for document submission such that MTL was not timely. However, even if CMA changed such, it failed to advise MTL of the change or the reason for such.

36. The consequence of CMA’s practice not to advise its clients of changing cut off dates in any manner, is that rollovers will occur, and demurrage will be assessed.

Booking #NAM5194626

37. In or around April of 2022, CMA “rolled” yet another of MTL’s containers and assessed demurrage charges, claiming that MTL missed the cut-off date for providing documentation. MTL provided all evidence of proper submission of documents, and pointed out to CMA that there was no reason not to place the container on the vessel when such container was ingated and the vessel was operating at the terminal. However, irrespective of such, CMA did not send any roll-over notification, and CMA did not send a revised booking confirmation.

38. According to MTL, on or about May 24, 2022, they filed a dispute with CMA. Not only did CMA not respond to this dispute, but they failed to advise MTL that demurrage would continue to accumulate while the dispute is pending.

39. Having received no response from CMA on the first dispute, according to MTL, they filed a second dispute on or about July 6, 2022.

40. MTL had previously filed a formal complaint against CMA, which subsequently settled, under Docket No. 18-07, and which included allegations of unreasonable demurrage.

CAUSE OF ACTION-ALL DEFENDANTS

(Violation of Section 41102(c) of the Shipping Act)

41. Complainant repeats paragraphs 1 to 40 above.

42. Respondents violated Section 41102(c) of the Shipping Act in that such respondents failed to establish, observe, and enforce just reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property by failing to follow shipping instruction; by failing to timely advise MTL of any perceived shipping issues leading to increased demurrage charges; by failing to respond in a reasonable manner to timely filed disputes, which caused an increase in the demurrage charges; failing to timely process Change in Destination in a manner that would avoid demurrage/storage/detention charges, which would allow for the release of the subject containers; by failing to provide timely, accurate and complete accounting of demurrage/storage/detention charges; and by failing to include accurate aspects of such charges in the service contract as provided by CMA.

DAMAGES

43. As a direct result of the foregoing, Complainant is seeking actual and consequential damages, including loss of business to MTL, in the amount of \$600,000.

WHEREFORE:

- a. Complainant is not requesting an oral hearing.
- b. Complainant is seeking reparations in the amount as indicated under the Damages section of this Complaint.
- c. Any other relief that the Court deems just and proper.

by:

Garry Pogil
Garry Pogil (Attorney for MTL)
1120 6th Avenue, 4th Floor
New York, NY 10036
Tel: 212-626-6825
Fax: 646-349-3468
Email: garry.pogil@gmail.com

VERIFICATION

Alla Solovyeva, being duly sworn, states that she is the President of MTL (Complainant), and that the foregoing Amended Complaint is true to her own knowledge, except as to matters herein stated to be alleged on information and belief. As to the matters stated to be alleged on information and belief, Complainant believes them to be true.

Alla Solovyeva
Alla Solovyeva

Subscribed and sworn to before me this 4th day of November, 2022

[Signature]
Notary Public

